OCR

Oxford Cambridge and RSA

Predicted Paper — Hard

GCSE (9–1) Economics

J205/02 National and International Economics

Time allowed: 1 hour 30 minutes

You can use:
- a scientific or graphical calculator
- an HB pencil

Please write clearly in black ink. **Do not write in the barcodes.**

Centre number □□□□□ Candidate number □□□□

First name(s) ________________________________

Last name ________________________________

INSTRUCTIONS

- Use black ink. You can use an HB pencil, but only for graphs and diagrams.
- Write your answer to each question in the space provided. If you need extra space use the lined pages at the end of this booklet. The question numbers must be clearly shown.
- Answer all the questions.

INFORMATION

- The total mark for this paper is 80.
- The marks for each question are shown in brackets [ ].
- Quality of extended response will be assessed in questions marked with an asterisk (*).
- This document has 24 pages.

ADVICE

- Read each question carefully before you start your answer.

SECTION A

Write your answer to each question in the box provided.

1 Real GDP per capita is not a perfect measure of living standards because

A it does not measure the number of people in a country
B it does not take account of income distribution, unpaid work or environmental quality
C it does not use market prices to value output
D it includes the value of exports and imports

Your answer [ ] **[1]**

2 Which of the following is most likely to cause cost-push inflation in the UK?

A A cut in income tax that raises households' disposable income
B A rise in consumer confidence following a fall in unemployment
C A sharp rise in global crude oil prices
D A rise in government spending on infrastructure

Your answer [ ] **[1]**

3 The figure shows the private and social marginal cost of producing electricity from coal.

Cost type	Value per MWh (£)
Private marginal cost	45
External cost (pollution)	30
Social marginal cost	75

To internalise the negative externality fully, the UK government should impose a tax per MWh of

A £15
B £30
C £45
D £75

Your answer [ ] **[1]**

4 A country specialises in the production of wheat according to the theory of comparative advantage. This means the country

A can produce more wheat in total than any other country
B has the lowest absolute cost of producing wheat
C has the lowest opportunity cost of producing wheat
D imports more wheat than it exports

Your answer [ ] **[1]**

5 The table shows the components of UK consumer price inflation in 2023.

Category	Weight in CPI (%)	Annual price change (%)
Housing & utilities	29	+12.6
Food & drink	12	+16.5
Transport	14	+1.1

All other categories	45	+3.2

Using the weights shown, the weighted contribution of 'Food & drink' to the headline inflation rate was approximately

A 1.2 percentage points
B 2.0 percentage points
C 4.1 percentage points
D 16.5 percentage points

Your answer ______ **[1]**

6 A current account surplus is most likely to cause

A a depreciation of the country's exchange rate
B a fall in the country's foreign exchange reserves
C an appreciation of the country's exchange rate
D an increase in the country's debt to the rest of the world

Your answer ______ **[1]**

7 A small open economy is experiencing rising inflation and a worsening current-account deficit. Which combination of policies is most consistent with the economic theory taught in this specification to address both problems?

A A fall in interest rates and a cut in income tax
B A rise in interest rates and a cut in government spending
C A rise in interest rates and an expansionary fiscal policy
D A rise in tariffs on imports and a cut in interest rates

Your answer ______ **[1]**

8 The diagram shows UK exports and imports of goods as a percentage of GDP from 2014 to 2023.

Year	Exports of goods (% of GDP)	Imports of goods (% of GDP)
2014	17.9	24.3
2019	17.4	25.8
2023	20.2	27.5

The data show that between 2014 and 2023

A the UK had a trade surplus in goods throughout the period
B the UK's trade deficit in goods (as a % of GDP) widened
C UK exports of goods fell in every year shown
D UK imports of goods were smaller than UK exports of goods

Your answer ______ **[1]**

9 Education is under-provided by the free market because it

A has a positive externality, so social benefit exceeds private benefit
B has a negative externality, so social cost exceeds private cost
C is a private good, so no one has an incentive to pay for it
D is a luxury good with low income elasticity of demand

Your answer [1]

10 The Human Development Index (HDI) is often preferred to GDP per capita as a measure of development because

A HDI is updated more frequently than GDP
B HDI captures health and education as well as income
C HDI ignores the distribution of income
D HDI is denominated in a single currency

Your answer [1]

11 Which of the following supply-side policies would most directly raise the long-run productive potential of the UK economy?

A A cut in interest rates by the Bank of England
B A temporary cut in VAT for six months
C An increase in the personal tax allowance
D An increase in funding for apprenticeships and skills training

Your answer [1]

12 Which of the following is recorded on the UK's financial account (not its current account) of the balance of payments?

A A UK consumer spending money on holiday in Spain
B A Japanese car firm opening a new factory in the UK
C Dividends received by a UK investor from shares held in a US company
D Remittances sent by overseas workers living in the UK to their home country

Your answer [1]

13 A UK manufacturer imports raw materials from the USA for $84,000. If the exchange rate moves from £1 = $1.40 to £1 = $1.20, the cost of the imports in pounds will

A fall by £10,000
B rise by £10,000
C rise by £14,000
D be unchanged

Your answer [1]

14 Which of the following is most likely to be a long-term effect of globalisation on a developed economy such as the UK?

A A permanent rise in the rate of inflation
B A permanent increase in trade barriers
C Greater competitive pressure in some domestic manufacturing industries
D Higher opportunity costs for consumers when buying imports

Your answer [1]

15 A subsidy is given to producers of a good that generates a positive externality. The correct effect of this subsidy on the market is

A the demand curve shifts right and the equilibrium price rises
B the demand curve shifts left and the equilibrium price falls

C the supply curve shifts right and the equilibrium quantity increases
D the supply curve shifts left and the equilibrium price rises

Your answer [ ] **[1]**

16 Information provision may fail to correct a market failure because

A consumers are always fully informed and respond rationally
B consumers may be unwilling to change behaviour even when fully informed
C providing information always raises the price of the good
D the market failure disappears as soon as information is available

Your answer [ ] **[1]**

17 The law of comparative advantage states that

A countries should produce only the goods they can produce with the lowest absolute cost
B countries should produce the goods in which they have the lowest opportunity cost and trade for the rest
C countries should produce all the goods they consume to protect domestic producers
D countries should always run a balance of trade surplus

Your answer [ ] **[1]**

18 The diagram shows the value of the UK pound against the euro from 2015 to 2023.

Year	£1 = €
2015	1.38
2017	1.14
2020	1.13
2023	1.15

The sharp depreciation of sterling against the euro between 2015 and 2017 is most likely to be associated with

A the 2016 UK referendum on EU membership
B the COVID-19 pandemic in early 2020
C the Bank of England's quantitative easing programme
D the 2022 Russian invasion of Ukraine

Your answer [ ] **[1]**

19 In an economy close to full employment, an unexpected rise in consumer confidence is most likely to lead to

A a fall in GDP and a fall in inflation
B a rise in GDP and a rise in inflation
C a rise in unemployment and a fall in inflation
D no change in either GDP or inflation

Your answer [ ] **[1]**

20 Which of the following best illustrates the difference between social and environmental sustainability?

A A new motorway that reduces congestion but raises local air pollution

B A new motorway that creates jobs and improves local air quality
C A new park that improves biodiversity and local well-being
D A new tax on carbon emissions that raises government revenue

Your answer [ ] **[1]**

SECTION B

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Extract 1

Productivity, real incomes and the cost of living in the UK

UK labour productivity — output per hour worked — has grown by around 0.5% a year on average since 2008, compared with around 2% a year before the global financial crisis. Economists often refer to this as the UK's 'productivity puzzle'. Low productivity growth is one reason that real wages have stagnated.

Between 2021 and 2023 the squeeze on UK real incomes became especially severe because inflation rose faster than nominal wages. The Institute for Fiscal Studies estimated that households in the lowest tenth of the income distribution faced effective inflation rates several percentage points higher than the headline CPI, because they spend a larger share of income on energy, food and rent.

UK nominal and real wage growth, 2021–2024 (annual %)

Year	Nominal wage growth	CPI inflation	Real wage growth
2021	+4.8	+2.6	+2.2
2022	+6.0	+9.1	−2.8
2023	+7.3	+7.3	0.0
2024	+5.5	+2.5	+2.9

(a) Using Extract 1, explain the change in UK real wages between 2021 and 2022. **[2]**

(b) Using Extract 1, calculate the approximate real wage growth in a year when nominal wages grow by 4.5% and inflation is 6.0%. Show your working. **[2]**

(c) Using the information in Extract 1, analyse how a period of stagnant real wages is likely to affect aggregate demand in the UK economy. **[6]**

(d) (i) Explain what is meant by 'labour productivity'. **[2]**

(d) (ii) State two supply-side policies that could raise UK labour productivity. **[2]**

(d) (iii)* Evaluate the extent to which lower-income households are more harmed than higher-income households by a period of high inflation. Use the information given in Extract 1 and your own knowledge. **[6]**

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Extract 2

UK public finances and fiscal policy choices

UK public sector net debt reached around 100% of GDP in 2024, a level not seen since the early 1960s. Debt-interest payments on government borrowing rose sharply as a result of higher interest rates and the end of cheap long-term borrowing. The Office for Budget Responsibility has warned that without action, debt could rise further.

The government faces a difficult choice. Raising taxes may harm growth and disposable income. Cutting public spending may damage public services and future productivity. Allowing borrowing to rise further risks losing credibility with bond markets. Some economists argue that targeted supply-side spending — on infrastructure, innovation and training — could raise long-run growth enough to lower the debt-to-GDP ratio over time.

Selected UK public finance indicators (illustrative, £ billion)

Item	Value (£ bn)
Total government spending	1,220
Total government revenue	1,090
Net borrowing (fiscal deficit)	130
Public sector net debt	2,600
Debt interest paid (annual)	105
Nominal GDP	2,600

(a) Using Extract 2, explain what the data show about the UK government's budget position. **[2]**

(b) Using Extract 2, calculate the UK's debt-to-GDP ratio. Show your working. **[2]**

(c) Using the information in Extract 2, analyse how a rise in government spending on infrastructure could affect the UK's long-run productive potential. **[6]**

(d) (i) Explain what is meant by 'fiscal policy'. **[2]**

(d) (ii) Other than infrastructure spending, state two fiscal policy measures a government could use to raise economic growth. **[2]**

(d) (iii)* Evaluate whether cutting UK government spending is the most appropriate way to reduce the national debt. Use the information given in Extract 2 and your own knowledge. **[6]**

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Extract 3

Interest rates, the exchange rate and UK trade

Monetary policy is conducted by the Bank of England through changes in Bank Rate. Between December 2021 and August 2023 Bank Rate rose from 0.1% to 5.25% as the Monetary Policy Committee sought to bring inflation back to the 2% target. Higher UK interest rates relative to overseas typically attract inflows of short-term capital, putting upward pressure on sterling.

A stronger pound has mixed effects on the UK economy. Imports become cheaper, which tends to lower the rate of imported inflation and benefits consumers. UK exports become more expensive in foreign markets, which can damage the competitiveness of UK producers. The overall impact on the current account depends on the responsiveness of export and import volumes to price changes — the Marshall–Lerner condition.

Selected UK monetary and exchange-rate indicators

Year	Bank Rate (end of year, %)	£1 = $ (average)	UK–EU trade balance in goods (% of GDP)
2021	0.25	1.38	−3.2
2022	3.50	1.24	−4.1
2023	5.25	1.24	−3.5
2024	4.75	1.27	−3.3

(a) Using Extract 3, explain the change in UK Bank Rate between 2021 and 2023. **[2]**

(b) Using Extract 3, calculate the percentage change in the dollar value of one pound between 2021 and 2024. Show your working. **[2]**

(c) Using the information in Extract 3, analyse how a rise in UK interest rates could lead to an appreciation of sterling. **[6]**

(d) (i) Explain what is meant by an 'appreciation' of a currency. **[2]**

(d) (ii) Other than controlling inflation, state two objectives of UK monetary policy. **[2]**

(d) (iii)* Evaluate the extent to which a sustained appreciation of sterling would harm the UK economy. Use the information given in Extract 3 and your own knowledge. **[6]**

END OF QUESTION PAPER

EXTRA ANSWER SPACE

If you need extra space use this lined page. You must write the question numbers clearly in the margin.